

REMIT II Compliance Guide for Algorithmic Energy Trading

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**EU Regulation 2024/1106 - Wholesale Energy
Market Integrity and Transparency**

Effective: 7 May 2024

1. Scope & Applicability

1.1 Who Must Comply

- All market participants trading wholesale energy products in the EU
- Includes: generators, retailers, traders, aggregators, storage operators
- Threshold: Any entity executing transactions on organized markets or OTC

1.2 What Is Covered

- Wholesale energy products: spot, forward, futures, options on electricity/gas
 - Contracts for physical delivery AND financial derivatives
 - NEW in REMIT II: Hydrogen contracts, energy storage, LNG
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2. Transaction Reporting (Article 8)

2.1 Reporting Deadlines

Event	Deadline
Standard supply contracts (spot)	T+1 business day

Event	Deadline
Transportation contracts	T+1 business day
Derivative contracts	T+1 business day
Order reporting	Real-time (via exchange)
Lifecycle events	T+1 business day

2.2 Required Fields

Field	Description	Example
UTI	Unique Transaction Identifier	EPEX-2026-03-15-QH45-001
Reporting entity	ACER registration code	A0003421.DE
Contract type	CONT / AUCTION	CONT
Delivery point	Bidding zone	DE-LU
Delivery start	ISO 8601	2026-03-15T14:00:00+01:00
Delivery end	ISO 8601	2026-03-15T14:15:00+01:00
Volume	MW	50
Price	EUR/MWh	85.40
Direction	Buy / Sell	Sell
Execution timestamp	Microsecond precision	2026-03-15T08:23:14.456789+01:00
Trading venue	MIC code	EPXS

3. Prohibition of Market Manipulation (Article 5)

3.1 Prohibited Behaviors

Behavior	Definition
Wash trading	Trading with yourself to create false volume
Spoofing	Placing orders with intent to cancel before execution
Layering	Multiple orders at different prices to create false depth
Cornering	Accumulating dominant position to control price
Ramping	Trading to move price, then profiting from the move
Cross-market manipulation	Using position in one market to profit in another

3.2 Algorithmic Trading Requirements (NEW in REMIT II)

1. Document all algorithms with clear description of strategy logic
2. Implement kill switches to halt trading immediately
3. Maintain audit trail of all algorithmic decisions
4. Test algorithms in sandbox before production deployment
5. Notify exchange and NRA of algorithmic trading activity
6. Designate a responsible person for each algorithm
7. Review algorithms annually for compliance

3.3 AI/ML-Specific Obligations

- Model documentation: training data, architecture, decision logic
 - Explainability: ability to explain why a specific trade was recommended
 - Human oversight: human must be able to override AI decisions
 - Monitoring: real-time surveillance of AI trading behavior
 - Version control: all model versions retained for 5 years
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4. Inside Information (Article 4)

4.1 Examples in Power Trading

Information	Inside?	Action Required
Planned plant outage (unscheduled)	YES	Disclose on UMM platform before trading
Fuel supply disruption	YES	Disclose immediately
Grid constraint (non-public)	YES	Disclose via TSO transparency
Weather forecast (public)	NO	Can trade on public forecasts
Own trading strategy	NO	Proprietary, not inside information

4.2 Urgent Market Messages (UMMs)

- Platform: REMIT Inside Information Platform (IIP)
 - Timing: Disclose BEFORE trading on the information
 - Penalty for late disclosure: Up to 500,000 EUR
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5. Penalties (REMIT II)

Violation	Maximum Penalty
Market manipulation	500,000 EUR or 10x profit
Insider trading	500,000 EUR or 10x profit

Violation	Maximum Penalty
Failure to report transactions	200,000 EUR per violation
Failure to disclose inside information	200,000 EUR
Inadequate record keeping	100,000 EUR

6. Record Keeping

Record Type	Retention Period
Transaction records	5 years
Order records (including cancelled)	5 years
Algorithm documentation	5 years after decommission
Communication records	5 years

7. Compliance Checklist for AI Trading Agent

Pre-Deployment

- ☐ Algorithm documented with strategy description
- ☐ Kill switch implemented and tested
- ☐ Sandbox testing completed (minimum 30 days)
- ☐ ACER registration confirmed
- ☐ Exchange notified of algorithmic trading
- ☐ Responsible person designated

Operational

- ☐ All trades reported to ACER within T+1
- ☐ All orders logged with timestamps
- ☐ Real-time surveillance active
- ☐ UMM platform monitored
- ☐

Human oversight available during trading hours

Post-Trade

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Daily reconciliation of reported vs executed trades

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Weekly algorithm performance review

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Annual algorithm re-certification

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5-year record retention confirmed